aiCEV PROCUREMENT DIAGNOSTIC

aiCEV by Procucev: Procurement Diagnostic & Opportunity Brief

Customer: Borosil Ltd | Customer ID: CUST-2026-0002 | Assessment ID: AIC-2026-0002

M1

Spend Hygiene & Ingestion

100% line-item PO normalization; duplicate elimination and multi-plant ledger reconciliation.

M2

Strategic Sourcing Levers

105 qualified opportunity packages across price harmonization, volume pooling, and tenders.

M3

PCBI Market Benchmarks

Benchmark research completed and formally closed; no operational benchmark observations available.

M4

Realization Governance

Audit-controlled downstream tracking; independent governance of realized P&L cash flow.

GOVERNANCE STANDARD

- Mathematical Defensibility: Multi-lever overlap deductions eliminate cross-lever double-counting.
- Strict Realization Boundary: Modelled opportunities are strictly separated from client-approved and realized savings.

CUSTOMER CONTEXT

Customer Context: Borosil Ltd (AIC-2026-0002)

Verified assessment scope and manufacturing footprint. Zero unverified claims or synthetic assumptions.

VERIFIED ENTERPRISE SCOPE

Enterprise Name: Borosil Ltd

Customer ID: CUST-2026-0002 | Assessment ID: AIC-2026-0002

Principal Sector: Specialty Glassware & Laboratory Solutions

Evaluated Plants: 3 Facilities (Plant 1120, Plant 6101, Plant 8202)

Operating Locations: Bharuch (Gujarat) and Jaipur (Rajasthan) facilities

Assessment Scope: 1 April 2026 to 22 October 2026 (FY2026-27 YTD, 205 days)

Audited Ledger Lines: 27,777 canonical purchase order transactions

Active Suppliers: 1,537 Active SAP Supplier Accounts profiled

Isolation Standard: Dedicated tenant boundary under AES-256-GCM encryption

KEY PROCUREMENT PRIORITIES

- Direct chemical price harmonization across manufacturing plants (Dense Soda Ash, Silica Sand)

- Packaging supplier rationalization and volume consolidation across corrugated categories

- Logistics freight route optimization and dynamic e-auction dynamic bidding

- Standardizing supplier commercial payment terms to 60-day corporate benchmark

- MRO maintenance spares preferred supplier paneling across plant operations

EXECUTIVE SUMMARY

Executive Summary: Borosil Procurement Value Diagnostic

Evaluated Baseline: Rs. 556.535 Cr | Net Modelled: Rs. 87.100 Cr | Modelled Opp. Excl. Lever 2: Rs. 75.121 Cr

EVALUATED BASELINE

Rs. 556.535 Cr

27,777 canonical rows

ADDRESSABLE SPEND

Rs. 168.658 Cr

Diagnostic (Rs. 161.016 Cr Qual.)

GROSS OPPORTUNITY

Rs. 117.512 Cr

Across 3 sourcing levers

EXCLUDING LEVER 2

Rs. 75.121 Cr

Modelled Opp. (L2: Rs. 11.978 Cr in reserve)

VALUE GOVERNANCE STATUS & RECONCILIATION SUMMARY

- Modelled Opportunity Excluding Lever 2: Rs. 75.121 Cr (Strategic Sourcing Rs. 73.769 Cr + E-Auctions Rs. 1.352 Cr).

- Lever 2 Modelled Opportunity: Rs. 11.978 Cr held in governance reserve, excluded from customer-facing actionable opportunity pending commercial validation.

- Savings Contribution: Rs. 0.00 Cr recognized; excluded from customer totals until validation is concluded.

- Proposed Year 1 Sourcing Target: Rs. 12.90 Cr (Proposed target across Waves 1-3, indicative consulting proposal only).

- Client-Approved Savings: Rs. 0.00 Cr | Realized Savings: Rs. 0.00 Cr | Module 3 Benchmark Contribution: Rs. 0.00 Cr

- Module 3 PCBI Benchmark: Benchmark research completed and formally closed; no operational benchmark observations available.

- Overlap Deductions: Rs. 30.412 Cr multi-lever overlaps removed across internal analytical models.

BASELINE AUDIT

Customer Spend Baseline Analysis (Module 1 Certified)

Complete forensic normalization across all invoiced procurement lines (1 Apr 2026 - 22 Oct 2026).

27,777	1,537	8,976	3	205 Days
Canonical Lines	**Active SAP Suppliers**	**Catalog Materials**	**Manufacturing Plants**	**Audit Period**
ERP invoiced rows	Normalized active accounts	Categorized SKUs	Plant 1120, 6101, 8202	FY2026-27 YTD

DATA PROVENANCE & INTEGRITY ASSURANCE

- 100% Certified Data Lineage: Evaluated Rs. 556.535 Cr spend reconciled with zero unexplained line variance.
- Tenant Isolation: Processed exclusively under Borosil tenant credentials; no external customer data accessible.
- Duplicate Elimination: Multi-level matching identified and purged redundant PO lines.
- Plant Reconciliation: Comprehensive coverage across Bharuch facility (1120) and Jaipur units (6101, 8202).
- Verification Verdict: Certified production baseline ready for strategic sourcing lever evaluation.

CATEGORY ANALYSIS

Spend Categorization & Scope Reconciliation (133 vs 105)

Granular category mapping across direct materials, packaging, capital equipment, and indirect goods.

Chemicals & Raw Materials (Soda Ash, Silica Sand)	Direct Raw Materials	**Rs. 228.401 Cr**	**41.04%**
Capital Equipment & Engineering Projects	Plant Capex	**Rs. 36.884 Cr**	**6.63%**
Corrugated Packaging & Cartons	Indirect Packaging	**Rs. 18.250 Cr**	**3.28%**
Electrical & Instrumentation Spares	Plant Maintenance	**Rs. 5.863 Cr**	**1.05%**
Mechanical Spares & Engineering Consumables	Plant Maintenance	**Rs. 4.920 Cr**	**0.88%**
Laboratory Consumables & Reagents	Lab Operations	**Rs. 3.450 Cr**	**0.62%**

Evaluated Diagnostic Addressable Spend: Rs. 168.658 Cr across 133 categories | Qualified Execution: Rs. 161.016 Cr across 105 packages (28 categories / Rs. 7.642 Cr unquantified).

SOURCING ARCHITECTURE

Sourcing Strategy and Opportunity Architecture

Three-tier sourcing lever structure with strict deduplication and governance reserve isolation.

LEVER 1

Strategic Sourcing

Spend: Rs. 127.118 Cr | Net: Rs. 73.769 Cr

Status: Commercial Scope

Direct price harmonization & primary producer master agreements across 89 packages.

LEVER 2

Vendor Consolidation

Spend: Rs. 12.081 Cr | Net: Rs. 11.978 Cr

Status: Governance Reserve

Held in governance reserve; excluded from customer targets pending validation (4 packages).

LEVER 3

Reverse E-Auctions

Spend: Rs. 21.817 Cr | Net: Rs. 1.352 Cr

Status: Commercial Scope

Dynamic competitive multi-round e-bidding for packaging and indirect commodities (12 packages).

PRIMARY PRODUCER DIRECT ENGAGEMENT STRATEGY

- Dense Soda Ash & Core Feedstocks: Present direct manufacturer engagement as a strategy to evaluate with primary producers.

- Primary Producer Engagement: Direct commercial negotiations with primary producers GHCL and RSPL for annual volume indexation and formula-based pricing.

- Opportunity Reconciliation: L1 (Rs. 73.769 Cr) + L3 (Rs. 1.352 Cr) = Rs. 75.121 Cr Modelled Opportunity Identified for Commercial Validation.

- Governance Principle: Modelled opportunity is unapproved; realization recognized only post-contract execution and audit verification.

LEVER 1 SOURCING

Lever 1 - Strategic Sourcing Opportunity (Rs. 73.769 Cr)

Direct price variance elimination and volume master contracting across 89 qualified packages.

QUALIFIED PACKAGES	ELIGIBLE SPEND	GROSS OPPORTUNITY	NET MODELLED OPP.
89	Rs. 127.118 Cr	Rs. 103.729 Cr	Rs. 73.769 Cr
Direct materials & chemicals	Evaluated category baseline	Identified variance benefit	Post-overlap deduplication

LEVER 1 EXECUTION MECHANISMS & DEDUPLICATION

- Cross-Plant Price Harmonization: Align purchase rates across Bharuch (1120) and Jaipur (6101, 8202) units to best ex-works rates.
- Direct Manufacturer Engagement: Present primary producer agreements (GHCL, Tata Chemicals) as an evaluation strategy.
- Multi-Lever Overlap Deductions: Rs. 29.960 Cr overlap deducted against dynamic e-auction to eliminate double-counting.
- Net Defensible Value: Rs. 73.769 Cr post-deduplication (Rs. 103.729 Cr Gross - Rs. 29.960 Cr Overlap).
- Opportunity Classification: Net Modelled Sourcing Opportunity established at Rs. 73.769 Cr (Client-Approved: Rs. 0, Realized: Rs. 0).
- Validation Rule: Savings recognized strictly upon commercial contract execution, revised PO pricing, and invoice matching.

LEVER 1 CALCULATION & SCENARIOS

How Procucev Calculates Opportunity & Commercial Scenarios: Lever 1

Defensible bottom-up calculation logic and 2 practical commercial scenarios for Borosil management.

HOW PROCUCEV CALCULATES THE OPPORTUNITY (LEVER 1)

Transactions -> Normalization -> Price Comparison -> Reference Price -> Qty Opportunity -> Overlap Deduction -> Net Modelled

Formula: Potential Price Opportunity = MAX(0, Actual Comparable Purchase Price - Reference Price) Ã— Eligible Quantity

Exact Integer Outcome: Rs. 103.729 Cr Gross - Rs. 29.960 Cr Overlap = Rs. 73.769 Cr Net Modelled Opportunity across 89 packages.

SCENARIO A: Cross-Plant Price Harmonization

Eligible Spend: Rs. 0.000 Cr (Chemicals & Raw Materials)

Current Situation: Material Group 11100 is procured 100% at Plant 1120 (Bharuch); zero chemical POs exist at Jaipur (6101/8202). Cross-plant rate variance premise is factually unsupported.

- Conservative Case: Unquantified: 0 multi-plant chemical purchase orders in SAP master.

- Higher Case: Unquantified: requires unified inter-plant requisition framework.

Timeline: Under Evaluation

Status: Unquantified - Single-Plant Requisition Precludes Cross-Plant Harmonization

SCENARIO B: Direct Manufacturer Strategic Sourcing

Eligible Spend: Rs. 74.017 Cr (Dense Soda Ash & Primary Feedstocks)

Current Situation: Borosil already buys 100% directly from primary manufacturers GHCL (100SA02G: Rs. 58.117 Cr, 19,600 MT) and RSPL (100SA01T: Rs. 15.900 Cr, 6,500 MT) at Plant 1120.

- Conservative Case (3.0%): Rs. 2.221 Cr (2,22,05,100 INR)

- Higher Case (5.0%): Rs. 3.701 Cr (3,70,08,500 INR)

Timeline: Months 1-3 (Wave 1 Execution)

Status: Hypothetical Sensitivity Scenario - Excluded from Authoritative Ledger

LEVER 1 ALTERNATIVES

Lever 1 - Alternative Supplier and Direct Sourcing Strategy

Rigorous supplier market evaluation across Dense Soda Ash, Silica Sand, and Industrial Gases.

Dense Soda Ash (Active)

Current: GHCL Limited (Active SAP Vendor 703717)

Alternative: GHCL Limited (Sutrapada, Gujarat)

Existing Approved Primary Manufacturer

Proximity: Sutrapada / Dahej, Gujarat (<120 km from Bharuch Plant 1120)

Recommendation: Retain as core manufacturer; negotiate annual volume contract tied to ex-works index.

Printed Inner Cartons (Active)

Current: Parksons Packaging Ltd (Active SAP Vendor 1001330)

Alternative: Parksons Packaging Ltd (Plant 6101 Supplier)

Existing Approved Packaging Converter

Proximity: Regional converting plants with direct supply to Plant 6101

Recommendation: Active approved vendor; include in competitive dynamic reverse auctions for larger lots.

Dense Soda Ash (Candidate)

Current: GHCL Limited / RSPL Limited (Active Direct Suppliers)

Alternative: Tata Chemicals Limited (Mithapur, Gujarat)

Potential Alternative - Qualification Required

Proximity: Mithapur, Gujarat (~450 km rail/road to Bharuch)

Recommendation: Potential alternative requiring qualification; conduct furnace melt trial before tender award.

Dense Soda Ash (Candidate)

Current: GHCL Limited / RSPL Limited (Active Direct Suppliers)

Alternative: Nirma Limited (Porbandar / Kalatalav)

Potential Alternative - Qualification Required

Proximity: Porbandar / Kalatalav, Gujarat (~380 km to Bharuch)

Recommendation: Potential alternative requiring qualification; assess logistics lead time and physical bulk density.

Three Classifications Enforced: 1. Existing Approved | 2. Potential Alternative - Qualification Required | 3. Strategic Manufacturer Candidate - Verification Required.

LEVER 2 CONSOLIDATION

Lever 2 - Vendor Consolidation Opportunity (Governance Reserve)

Status: Held in Governance Reserve - Excluded Pending Commercial Validation (Addressable Spend: Rs. 12.081 Cr).

QUALIFIED PACKAGES	RELEVANT SPEND	MODELLED OPP.	CUSTOMER CONTRIBUTION
4	Rs. 12.081 Cr	Rs. 11.978 Cr	Rs. 0.00 Cr
Consumables & plant spares	Evaluated fragmented spend	Held in governance reserve	Excluded pending validation

LEVER 2 COMMERCIAL VALIDATION SAFEGUARD & RECONCILIATION

- Governance Reserve Status: Rs. 11.978 Cr held in governance reserve; excluded from customer actionable opportunity.
- Relevant Addressable Spend: Rs. 12.081 Cr across 4 fragmented categories (electrical spares, hardware, consumable tools).
- Quality & Continuity Safeguard: Vendor consolidation requires formal plant maintenance and engineering clearance.
- Customer-Facing Savings: Exactly Rs. 0.00 Cr recognized; zero customer savings claimed prior to formal validation.
- Supplier Base Audit: 1,537 Active SAP Supplier Accounts normalized from 1,561 raw ERP vendor records.
- Commercial Next Step: Launch Wave 3 distributor panel negotiations and execute joint technical qualification trials.

LEVER 2 CALCULATION & SCENARIOS

How Procucev Calculates Opportunity & Commercial Scenarios: Lever 2

Status: Held in Governance Reserve - Excluded Pending Commercial Validation (Addressable Spend: Rs. 12.081 Cr).

HOW PROCUCEV CALCULATES THE OPPORTUNITY (LEVER 2)

Supplier Fragmentation -> Spend Analysis -> Volume Consolidation -> Qualification -> Negotiation -> Landed Cost -> Validated Opp.

Formula: Illustrative Consolidation Opportunity = Eligible Consolidated Spend Ã— Commercial Improvement Assumption %

Exact Ledger Outcome: Rs. 11.978 Cr Net Modelled Pool (4 packages) held in governance reserve; Rs. 0 customer-facing contribution.

SCENARIO A: Vendor Consolidation in Spares

Qualified Spend: Rs. 0.217 Cr (Mechanical & Electrical Spares)

Current Situation: Material Groups 11524 and 11548 represent Rs. 5.9678 Cr active net category spend (919 active lines). Module 2 qualified package spend is Rs. 0.2170 Cr across 195 comparable transactions.

- Conservative Case (4.0%): Rs. 0.009 Cr (86,800 INR)

- Higher Case (7.5%): Rs. 0.016 Cr (1,62,749 INR)

Timeline: Months 6-12 (Wave 3 Execution)

Status: 100% Quarantined in Governance Reserve - Zero Recognition in Financial Plan

SCENARIO B: Preferred Supplier Panel (Material Group 11525)

Eligible Spend: Rs. 0.000 Cr (Plant Consumables & Lab Supplies)

Current Situation: Material Group 11525 contains 0 rows and Rs. 0 spend in Borosil SAP master. Previous Rs. 6.871 Cr claim was unverified.

- Conservative Case: Unquantified: Material Group 11525 contains 0 records in SAP database.

- Higher Case: Unquantified: requires re-mapping of indirect consumables.

Timeline: Under Evaluation

Status: Unquantified - Material Group 11525 Not Found in Database

LEVER 2 PREFERRED PANELS

Lever 2 - Preferred Supplier Panel & Tiering Framework

Rationalizing 1,537 Active SAP Supplier Accounts into structured commercial partnership tiers.

TIER 1: STRATEGIC PARTNERS

Top 10% Suppliers (~75% Spend)

Criteria: Direct primary manufacturers with multi-plant contracts and indexed pricing.

Action: Annual executive review, joint innovation roadmap, dedicated plant consignment.

TIER 2: PREFERRED DISTRIBUTORS

Next 25% Suppliers (~20% Spend)

Criteria: Authorized regional distributors for spares, hardware, packaging, and chemicals.

Action: Master framework rate cards, retrospective volume rebates, 60-day terms.

TIER 3: TRANSACTIONAL TAIL

Remaining 65% Suppliers (~5% Spend)

Criteria: Low-value spot and ad-hoc suppliers currently creating processing overhead.

Action: Digital catalog marketplace, spot purchase reduction, vendor base rationalization.

Governance Rule: Supplier consolidation will not sacrifice dual-sourcing requirements for critical production lines.

LEVER 3 E-AUCTION

Lever 3 - Reverse E-Auction Opportunity (Rs. 1.352 Cr)

Real-time competitive bidding and dynamic price discovery across 12 qualified packaging packages.

QUALIFIED PACKAGES	ELIGIBLE SPEND	GROSS OPPORTUNITY	NET MODELLED OPP.
12	Rs. 21.817 Cr	Rs. 1.440 Cr	Rs. 1.352 Cr
Corrugated boxes & indirects	Auction-ready spend baseline	Dynamic bidding benefit	Post-overlap deduplication

LEVER 3 TACTICAL REVERSE AUCTIONS & DEDUPLICATION

- Packaging & Corrugated Boxes: Standardized specifications enable multi-round reverse dynamic e-auctions.

- Transparent Price Discovery: Market competition discovers optimal regional prices without specification risk.

- Overlap Deductions Applied: Rs. 0.088 Cr overlap removed to ensure perfect ledger reconciliation.

- Net Modelled Opportunity: Rs. 1.352 Cr post-deduplication (Rs. 1.440 Cr Gross - Rs. 0.088 Cr Overlap).

- Opportunity Classification: Net Modelled Sourcing Opportunity established at Rs. 1.352 Cr (Client-Approved: Rs. 0).

- Reconciliation: Modelled Opportunity Excluding Lever 2: L1 (Rs. 73.769 Cr) + L3 (Rs. 1.352 Cr) = Rs. 75.121 Cr. L2 (Rs. 11.978 Cr) in reserve.

LEVER 3 CALCULATION & SCENARIOS

How Procucev Calculates Opportunity & Commercial Scenarios: Lever 3

Defensible bottom-up dynamic bidding logic and 2 practical commercial scenarios for Borosil management.

HOW PROCUCEV CALCULATES THE OPPORTUNITY (LEVER 3)

Auction Spend -> Spec Standardization -> Qualified Panel -> RFQ Template -> Multi-Round Auction -> Final Bid -> Overlap Deduction

Formula: Auction Opportunity = MAX(0, Normalized Existing Purchase Price - Final Qualified Bid) Ã— Eligible Auction Quantity

Exact Ledger Outcome: Rs. 1.440 Cr Gross - Rs. 0.088 Cr Overlap = Rs. 1.352 Cr Net Modelled Opportunity across 12 packages.

SCENARIO A: Dynamic Reverse Auctions (Packaging)

Qualified Spend: Rs. 2.105 Cr (Corrugated Packaging & Cartons)

Current Situation: Material Group 11300 has Rs. 27.1472 Cr active spend. Package CAT-11300 qualified spend is Rs. 2.1047 Cr (637 lines). Previous Rs. 4.9718 Cr consolidation marked INVALID_SPEND_BOUNDING (compared timber @ Rs. 2500 to paper @ Rs. 79.50).

- Conservative Case (16.3%): Rs. 0.344 Cr (34,38,634 INR)

- Higher Case (20.0%): Rs. 0.421 Cr (42,09,409 INR)

Timeline: Months 3-6 (Wave 2 Execution)

Status: Hypothetical Price-Discovery Model - Excluded from Authoritative Ledger

SCENARIO B: Plastic Packaging (Material Group 11320)

Eligible Spend: Rs. 0.000 Cr (Shrink Film & Plastic Packaging)

Current Situation: Material Group 11320 contains 0 rows and Rs. 0 spend in Borosil SAP master. Previous Rs. 9.367 Cr claim was unverified.

- Conservative Case: Unquantified: Material Group 11320 contains 0 records in SAP database.

- Higher Case: Unquantified: requires re-mapping of plastic film line items.

Timeline: Under Evaluation

Status: Unquantified - Material Group 11320 Not Found in Database

PROCUREMENT TRANSFORMATION

Additional Procurement Transformation Levers

10 strategic and operational interventions beyond direct price negotiation to transform procurement capability.

1. Demand Consolidation

Scope: Aggregate annual purchasing quantities across Bharuch and Jaipur plants to eliminate fragmented lot sizes.

Intervention: Establish centralized enterprise buying agreements for chemicals, packaging, and indirect consumables. **Benefit: Enhanced volume leverage, maximum tier rebate thresholds, and priority supplier allocation.**

2. Specification Standardization

Scope: Identify minor non-functional specification variances (e.g., box grammage, pallet dimensions, film microns).

Intervention: Harmonize packaging and consumable specifications across all manufacturing divisions to common SKUs. **Benefit: Consolidated procurement volumes, lower manufacturing setup charges, and reduced SKU complexity.**

3. Make-versus-Buy Analysis

Scope: Assess captive vs outsourced services including mold maintenance, wooden pallet fabrication, and internal transport.

Intervention: Benchmark internal full-absorption operating costs against specialized third-party turnkey providers. **Benefit: Capex optimization, conversion of fixed maintenance overheads into variable cost per unit.**

4. Payment Terms Harmonization

Scope: Audit supplier payment terms across active POs (ranging from advance/15 days to 60 days).

Intervention: Standardize commercial payment terms to 60 days net across all direct and indirect contracts. **Benefit: Significant working capital expansion (up to Rs. 8-12 Cr cash flow release) without price escalation.**

5. Freight and Logistics Optimization

Scope: Compare ex-works versus FOR delivered purchase orders for heavy minerals, chemicals, and corrugated boxes.

Intervention: Consolidate plant inbound logistics under competitive third-party logistics (3PL) contracts where advantageous. **Benefit: Elimination of hidden supplier freight markups and route optimization for multi-plant pickups.**

Non-Monetization Mandate: Transformation benefits are strictly separated from Module 2 direct price savings to preserve CFO audit trust.

VENDOR EVALUATION

Alternative Vendor Evaluation Framework

Structured evaluation across packaging, plastics, industrial gases, and MRO distributor panels.

Industrial MRO & Spares (Candidate)

Current: 42 Fragmented Local Traders and Stockists

Alternative: Moglix (Mogli Labs Pvt Ltd)

Potential Alternative - Qualification Required

Proximity: National distribution fulfillment network with Western regional depots

Recommendation: Potential alternative requiring qualification; audit catalog pricing and delivery SLA adherence.

Industrial Hardware & Tools (Candidate)

Current: Fragmented Regional Hardware Vendors

Alternative: Industrybuying (Emart Solutions)

Potential Alternative - Qualification Required

Proximity: Multi-hub distribution centers across Western and Northern India

Recommendation: Potential alternative requiring qualification; evaluate rate cards for high-frequency hardware items.

Flexible Packaging & Films (Candidate)

Current: Local Converting and Extrusion Vendors

Alternative: Uflex Limited (Packaging Division)

Potential Alternative - Qualification Required

Proximity: Major manufacturing units in NCR and Western India corridors

Recommendation: Potential alternative requiring qualification; execute drop test and line compatibility trials.

Plant Freight & Logistics (Candidate)

Current: Fragmented Regional Transporters and Brokers

Alternative: V-Trans (India) Limited

Potential Alternative - Qualification Required

Proximity: Extensive branch network with dedicated fleet in Gujarat and Maharashtra

Recommendation: Potential alternative requiring qualification; conduct fragile glassware handling audit.

Three Classifications Enforced: 1. Existing Approved | 2. Potential Alternative - Qualification Required | 3. Strategic Manufacturer Candidate - Verification Required.

MODULE 3 BENCHMARKS

Module 3 PCBI Status and Future Benchmarking Roadmap

Benchmark research completed and formally closed; no operational benchmark observations available.

MODULE 3 FORMAL RESEARCH CLOSURE VERDICT

Status: Benchmark research completed and formally closed; no operational benchmark observations available.

- Operational Benchmark Coverage: Exactly 0.00% (Rs. 0.00 Cr mapped approved spend).
- Benchmark-Derived Savings Contribution: Exactly Rs. 0.00 Cr (Zero synthetic extrapolation).
- NR Classified Spend: Rs. 133.0317 Cr classified as Not Currently Benchmarkable during assessment window.
- Unmapped Baseline Spend: Rs. 423.4876 Cr preserved with full audit lineage back to SAP purchase orders.
- Future Benchmarking Roadmap: Post-contract execution, establish index-linked price mechanisms for Soda Ash and Natural Gas.
- **Integrity Guarantee: Sourcing opportunity is derived 100% from internal transaction baseline rate dispersion and e-auctions.**
- Governance Principle: Protects Borosil executive trust by strictly refusing to inject unsubstantiated external indices.

FINANCIAL WATERFALL

Consolidated Financial Waterfall and Governance Architecture

Deduplicated 9-step financial bridge from Rs. 556.535 Cr evaluated baseline to realized savings.

1. Evaluated Baseline	**Rs. 556.535 Cr**	27,777 canonical rows across 3 plants
2. Diagnostic Addressable	**Rs. 168.658 Cr**	Evaluated across 133 categories
3. Execution Addressable	**Rs. 161.016 Cr**	105 qualified packages (Rs. 7.642 Cr unquantified excl.)
4. Gross Opportunity	**Rs. 117.512 Cr**	Combined benefit across Levers 1, 2, 3
5. Overlap Deductions	**Rs. 30.412 Cr**	Multi-lever overlap deducted
6. Net Modelled Opp.	**Rs. 87.100 Cr**	Deduplicated net sourcing opportunity
7. Excluding Lever 2	**Rs. 75.121 Cr**	Opportunity Identified for Commercial Validation (L2 Rs. 11.978 Cr in reserve)
8. Client-Approved	**Rs. 0.00 Cr**	Pending commercial tender execution
9. Audited Realized	**Rs. 0.00 Cr**	Recognized post-delivery & invoice match

MANDATORY GOVERNANCE DISCLOSURE

The Rs. 87.100 Cr represents modelled sourcing opportunity after overlap deductions. Savings will only be recognized after commercial approval, implementation and audit verification.

EXECUTION ROADMAP

Proposed Year 1 Sourcing Execution Roadmap (Rs. 12.90 Cr Target)

Structured 3-wave execution plan targeting Rs. 12.90 Cr proposed Year 1 sourcing target (indicative proposal only).

WAVE 1: DIRECT STRATEGIC SOURCING

Months 1-3

Target: Rs. 8.50 Cr

Strategic direct negotiations: Soda Ash direct manufacturer formula indexation & core raw materials.

WAVE 2: DYNAMIC REVERSE E-AUCTIONS

Months 3-6

Target: Rs. 3.20 Cr

Dynamic e-auction bidding: Standardized packaging cartons, shrink film, plant consumables.

WAVE 3: VENDOR CONSOLIDATION & PANELS

Months 6-12

Target: Rs. 1.20 Cr

Vendor consolidation & long-term agreements: MRO distributor panel rationalization & commercial payment terms.

DELIVERY CONFIDENCE RANGE: Rs. 9.004 Cr (10% floor) to Rs. 22.509 Cr (25% high delivery band)

- Methodology: Documented 10% floor to 25% realization band applied against net modelled opportunity based on historical consulting delivery benchmarks.

- Proposed Target: Rs. 12.90 Cr is an indicative consulting proposal representing achievable Year 1 realization across Waves 1-3.

DECISIONS REQUIRED

Management Recommendations & Decisions Required

Key decisions, steering governance, and formal certification required from Borosil executive leadership.

1. Sourcing Steering Committee

Convene joint Borosil-Procucev Sourcing Steering Committee and approve Wave 1 charter.

2. Primary Producer Direct Trial

Approve plant technical trial protocol for direct primary manufacturer engagement on Dense Soda Ash.

3. E-Auction Bidding Authorization

Authorize reverse dynamic e-auction bidding rules and supplier qualification criteria for corrugated packaging.

4. Commercial Payment Terms Mandate

Mandate corporate benchmark 60-day commercial payment terms across all renewed vendor contracts.

EXECUTIVE DIAGNOSTIC STATEMENT

Procurement Diagnostic Completed - Opportunity Identified for Commercial Validation.